

PITCH — ATEC — VERDICT

PROPOSED — PENDING ADJUDICATION

Alphatec Holdings (ATEC), spine implants, Carlsbad CA. Last price \$9.27. No position, no orders. Nothing is armed.

What we believe

Alphatec sells spinal implants and surgical instruments to spine surgeons. It has been growing fast (surgical revenue +17% year over year, procedure volume +20%) and has spent the last several years losing money to buy that growth. The argument for owning it is that the losing-money phase is ending: in the June quarter, adjusted profit went from \$23.5M to \$36.0M year over year, and management raised the full-year adjusted profit target from \$134M to \$140M. The stock, meanwhile, is down 60% from its 52-week high of \$23.29 and trades at 2.3x revenue.

Our position, after running the argument through an adversarial review, is narrower than that: **the profit improvement is real and is not an accounting artifact, but the business still converts almost none of that profit into actual cash, and the price is not obviously cheap on its own merits — only relative to two peers.** That combination justifies a small starter position at a slightly lower price, not a conviction buy.

Specifically:

- The improvement in profitability is genuine. Stripping out stock compensation entirely, the margin still expanded 409 basis points, versus 415 basis points on the headline number. The improvement did not come from paying people in stock.
- But cash is thin to the point of being a rounding error. Trailing-twelve-month free cash flow is **\$2.3M on roughly \$850M of revenue** — 0.3%. Full-year 2025 was \$2.8M. Management guides to “at least \$20M” for 2026, which requires the second half to do far more than the first half did.
- Leverage is about 4x gross, but there is no near-term solvency question: roughly \$55M of cash after repaying the 2026 convertible notes on July 30, plus about \$85M undrawn on a \$125M revolver.

What the market believes

The market has taken the stock down 60% and left it at 2.3x revenue while the company grows 15%. That is not a market that thinks the business is broken — it is a market that thinks the business does not generate cash and dilutes its owners while it grows. Both of those are, in fact, true. Shares outstanding went from 144.15M in February 2025 to 154.45M in July 2026, about 4.8% a year.

The market also appears to believe management's guidance, because management's guidance *is* the consensus. Nobody on our side of this produced an estimate that differs from the company's own.

Why we might have edge

Honestly: not much, and we should say so.

The one thing our review produced that the tape may not have fully absorbed is that **the stock-compensation criticism — the standard bear argument on this name — does not explain the profit improvement**. Stock comp dollars have been roughly flat for four years (\$81M, \$73M, \$74M, ~\$81M) while revenue compounded, so the *intensity* halved from 16.9% of revenue to about 9.2%. A bear who quotes the absolute dollar figure describes a rising cost. The actual trend is a falling one. If the market is pricing the flat-dollar version, there is a small gap there.

The second thing is a relative-value observation: at 2.26x revenue, ATEC is cheaper than Globus Medical (3.47x, growing 6.9%, net cash, \$756M of free cash flow) and cheaper than SI-Bone (3.67x, growing 15.6%, negative EBITDA). ATEC grows faster than one and makes money unlike the other. At SI-Bone's multiple, ATEC is \$17.30. At a plain 3.0x, it is \$13.50.

That is a thin edge and it is relative, not absolute. We should not dress it up.

Why it might be priced in

Several reasons, and they are strong:

1. **We agree with the street.** Neither side of the review produced a number that differs from the company's guidance. There is no identified mechanism by which we know something others don't. A position taken here is a position that the consensus is roughly right and the price is wrong — which is a weaker claim than knowing the consensus is wrong.
2. **The stock is not at its lows.** It is 36% *above* the 52-week low of \$6.82. This is a partially recovered decline, not a fresh dislocation. Whoever was going to catch the falling knife has already caught some of it.
3. **The valuation is only cheap against peers.** On its own cash economics — \$2.3M of trailing free cash flow — the enterprise value of roughly \$2.0B is not defensible by any absolute measure. The bull case depends on cash conversion arriving, which has been promised before.
4. **Ownership crowding.** This is a well-covered small-cap medtech name with an active retail and institutional following. It is not undiscovered.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"Adjusted profit \$36M, margin +420bp, guide	Read the Q2 earnings release filed with the SEC (8-K EX-99.1)	Adjusted EBITDA \$35.950M vs	Yes

Claim	How checked	Found	Confirmed?
raised to \$140M"		\$23.467M; guide raised from \$134M to \$140M	
"The whole profit improvement is stock compensation" (our bear analyst's headline argument)	Recomputed profit <i>excluding</i> stock comp for both periods from the same release	Ex-stock-comp margin went 4.23% → 8.32%, +409bp vs the headline +415bp. Stock comp only grew \$2.5M against a \$12.5M profit increase	No — our own bear analyst was wrong on causation. The dollar-level criticism is fair as a valuation input; the causal claim is refuted by the company's own reconciliation
Stock comp run-rate	SEC XBRL ShareBasedCompensation, CIK 1350653	H1 2026 = \$41.8M. Bear annualized to \$84M by doubling; second half has run below first half in every prior year, so ~\$81M is closer	Partially — our bear was ~4% high
"Dilution is accelerating as the stock falls"	Compared bear's computed issuance to actual share count	Bear divided <i>current</i> stock-comp expense by <i>today's</i> price to get 5.8%/yr. But that expense is the amortized fair value of older, higher-priced grants. Actual issuance: 144.15M → 154.45M = ~4.8%/yr, and decelerating	No — our own bear's method overstated it
Free cash flow is trivial	XBRL operating cash flow minus capex, quarter by quarter	H1 2026: \$21.8M OCF – \$32.0M capex = –\$10.2M . Trailing twelve months = +\$2.3M . FY2025 = +\$2.8M . Every	Yes — this survives everything

Claim	How checked	Found	Confirmed?
“The cash guide and the growth guide can’t both be met — cash can only come from starving instrument-set spending”	Looked for a period where capex fell and growth held	bear figure checked out FY24→FY25 capex fell 49% (\$83.2M → \$42.5M) and case growth held ~20%. In H1’26 capex <i>rose</i> 58% and cash flow was flat year over year. Also: H1’26 adjusted profit alone is \$23M above H1’25, more than the full-year \$17.2M cash improvement being asked for	No — our own bear’s sharpest new idea does not hold
“Revenue per case, the decisive metric, only exists in the earnings call, not in a filing”	Checked the filed earnings release for the two inputs	Both are there: surgical revenue +17%, case volume +20%. $1.17/1.20 - 1 = -2.5\%$, versus the -2.5% / -2.7% quoted on the call. Computable from the filing to within 20bp	No — our own bear was wrong. What is call-only is the <i>explanation</i> (“it’s biologics mix, not price cuts”), which is commentary, not a metric
Interest expense	GAAP InterestExpense Q2’26 = \$10.964M; bear annualized to ~\$44M	That quarter straddles the May 1 refinancing and includes write-off of the retired Braidwell loan, so it is not a clean run-rate. Company states the new facility cuts interest “by more than \$6 million annually”	No — our bear’s \$44M annualization is not usable. True cash interest is somewhere between \$18M and \$44M and we have not pinned it
Solvency	Cash + revolver vs. burn	~\$55M cash after the July 30	Yes — clean. Both benches

Claim	How checked	Found	Confirmed?
		note repayment, ~\$85M undrawn revolver ≈ \$140M available against –\$10.2M H1 burn. 2030 convertibles convert at \$15.54, 68% above tape, with a hedge to \$23.46 The pack's stock-comp and cash-flow rows for Q1'25 match the audited filings exactly. An earlier draft called them stale — that draft compared <i>weighted-average diluted shares to point-in-time shares outstanding</i>, two different things. Our own working draft threw away good data on a basis error. The one genuinely broken row is revenue, which is stale because of a 2018 accounting-tag change	declined to call this a problem Our internal pack has a real bug — and it affects every company we cover, not just this one. Escalated separately Secondary source, not a filing. The single leg carrying our relative-value argument rests on the weakest evidence in the deck
Our own data pack	XBRL direct		
Peer multiples	stockanalysis.com	GMED 3.47x, SIBN 3.67x	

Score on our own benches: the bear analyst produced four arguments; one survived intact (cash flow is thin), one survived reduced to a sizing input (stock comp inflates reported profit by ~\$81M/yr), and two were refuted outright by primary documents. The bull side's own new finding (see below) rests on rounded press-release arithmetic and should be treated as provisional.

PROPOSED ENTRY BANDS

Tape today is **\$9.27**. Nothing below is live; all of it is proposed.

Starter — 0.5% of book at \$9.00 or better. Not at market. The \$9.00 level is a discipline gate, not a valuation level: our bear's own fair-value ceiling is \$8.13, which is *below* today's price, so buying at the tape means paying above the top of the bear's range. Waiting for \$9.00 does not fix that, but it does mean we are not chasing. Basis for owning anything at all: no surviving kill argument, real 15% growth, cheapest of three comparable companies, and no solvency question.

Second tranche — additional 0.5% only after the October 29 print, and only if all three of the following are true in the filed earnings release and 10-Q: 1. Computed revenue per case (surgical revenue growth ÷ case growth) is **flat or better** year over year. Currently -2.5%. 2. **EOS imaging revenue ≥ \$20M for the quarter.** This is the line that caused the May guidance cut. It is running about \$18M a quarter, which annualizes to \$72M against a \$77M full-year target. The gap must close. 3. **Second-half-to-date free cash flow ≥ +\$15M with capex still ≥ \$16M.** The capex floor matters: cash flow bought by cutting instrument-set deployment is cash flow borrowed from next year's growth.

If fewer than three are true, no second tranche. If two are true, hold the starter and re-review.

Maximum position: 1.0% of book. This is a starter-class name, not a core one. It is crowded, it is a small-cap, and our edge is thin and relative.

Exit — hard stop on a close below \$6.50 *combined with* deterioration in revenue per case. Price alone is not the trigger; \$6.50 with the three tests still passing is a different situation than \$6.50 with them failing. \$6.50 is roughly 5% below the 52-week low of \$6.82 and is the level our bear analyst named as where the bear case would be fully priced.

Upside marker, not a trim rule: \$15.54. That is the 2030 convertible conversion price. Above it, the capital structure and dilution math change materially and the position should be re-courted, not automatically trimmed.

Catalyst dates: - 2026-10-29 — Q3 earnings. *This date is unconfirmed.* It was derived from a data vendor, not from a company announcement. No company press release through August 7 names it. Before arming anything to this date, we must confirm it from a company source. It is roughly 48 trading days away, so there is no print-proximity urgency and nothing about this position is timed to it. - No other dated catalyst identified. There is no FDA action, no litigation date, and no financing event in the filing record.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 6.5 (deck-provisional: Hard stop, valid only alongside revenue-per-case deterioration; 5% under the 52-week low of \$6.82)
- filing watch: 8-K until 2027-02-17 (deck-provisional: Q3 earnings exhibit carries surgical revenue, case volume and EOS revenue — two of the three second-tr)
- dated pack ATEC|2026-10-29: ATEC: Q3 2026 earnings — decides the second tranche via RPC flat-to-up, EOS revenue $\geq$ \$20M, H2 FCF $\geq$ +\$15M with capex $\geq$ \$16M (date confirmed)

What remains unverified

Stated plainly, because several of these are load-bearing:

1. **The October 29 earnings date.** Vendor-derived, not company-confirmed.
2. **Actual cash interest expense.** We know the reported GAAP figure is contaminated by the May refinancing and we know the company claims a \$6M annual saving. We did not read the refinancing 8-K, so the true post-refinancing cash interest is somewhere in a \$18–44M range. That is a wide band on a leveraged company.
3. **The EOS revenue shortfall.** This is the bull side's own new bear finding and the sharpest of the three second-tranche tests. It was derived by subtracting rounded figures in a press release (\$214M total – \$196M surgical $\approx$ \$18M). It should be verified against the 10-Q segment disclosure before it is used as a trigger.
4. **No quality or recall data was pulled.** No openFDA, no adverse-event counts. Unchecked, and material.
5. **No facility-level verification.** No OSHA records, no thermal/utilization data on the Carlsbad facility. Low priority here — revenue is confirmed from filings, not inferred — but it is a gap.
6. **Peer multiples come from a secondary aggregator,** not from peer filings. The relative-value argument, which is the only affirmative valuation case we have, rests on this.
7. **The market's actual number.** Neither bench produced the sell-side's load-bearing estimate or price target. We claim the price is wrong without having written down what the price implies.
8. **The revenue-per-case explanation.** The metric is computable from filings; management's explanation for why it is falling ("product mix, not price") is available only on the earnings call and is not independently verified.
9. **Our own data pack has a confirmed bug** — the revenue row is stale for every company filing under post-2018 accounting tags. Fixed separately; flagged here because it means pack revenue figures should not be trusted in any deck until it is.

Sources: [Q2 2026 earnings release](#), [SEC 8-K EX-99.1](#) · [10-Q for the quarter ended 6/30/2026](#) · SEC XBRL company-concept data, CIK 1350653 · [Q1 2026 earnings release](#) · [2030 convertible note terms](#) · peer multiples from stockanalysis.com (secondary).

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Adjudication & update (2026-08-23)

Ruling (2026-08-22): MINIMUM STARTER 0.5% at ≤\$9.00 — clean-court default. Red's REJECT was partially overturned on audit: its strongest kill ("the profit inflection is stock compensation") was refuted by the issuer's own 8-K reconciliation — ex-SBC margin improved +409bp against a +415bp headline, so the inflection is ~99% real; the SBC *level* (~\$81M/yr, 9.2% of revenue) survives as a sizing constraint, tagged CONSENSUS. Red's valuation FATAL failed its own arithmetic (its band tops \$8.13, 12% below the then-tape). The capex-starve kill was refuted by the FY24→FY25 natural experiment (capex –49% with growth held). What survives red on substance: the back-half-loaded FCF guide — that is the position's live tripwire. Schall notice cleared; not RP_TAINTED. Kill triggers (class): Q3 computed revenue-per-case worse than –2.5% YoY → exit, class flips STRUCTURAL (NOVEL) · Q3 EOS revenue <\$20M → no tranche 2 (NOVEL) · FCF guide walked down or SBC dollars rising (CONSENSUS-sizing). Hard stop <\$6.50 only alongside RPC deterioration.

Order status: LIVE — BUY 550 @ \$9.00 GTC (submitted 8/22), cancel-by 10/28 (pre-print; the 10/29 date is yfinance-derived, unconfirmed). Tranche 2 (to 1.0%) only if the Q3 print delivers all three: RPC flat-to-up, EOS ≥\$20M, H2 FCF ≥\$15M with capex ≥\$16M.

What could go wrong (*authored at deck update 2026-08-23 — post-ruling, pre-fill*)

1. **The guide's back half doesn't arrive.** FY26 free cash flow is guided to land almost entirely in H2 off a \$2.3M TTM base. If Q3 prints soft FCF with SBC still running 9% of revenue, the stock re-derates while we hold — this is the sensed failure (tripwires above), and it is also red's surviving substance: the timing red got wrong compounding the level red got right.

2. **Field-level share loss we cannot see.** Surgeon adoption and competitive displacement by Globus/SI-BONE happen rep-by-rep, quarters before they surface in revenue-per-case. No desk sensor watches the channel — *unknown-unknown class: channel-intelligence gap (tripwire-less)*. The first visible symptom would be the RPC print itself, which is the exit, not the warning.
3. **A raise into the drawdown.** A 60%-drawdown issuer with a 2030 convert overhead can decide the balance-sheet question for us; the S-3/424 event gate watches filings but cannot see the board meeting. Between decision and filing there is no signal.

Reflexive/structural leg: the 550-share order is trivial against ADV — flow is not the risk. The real structural exposure is cohort concentration: ATEC is one of nine clean-court starters staged in the same 48 hours under the same ratified default; if the minimum-starter doctrine is miscalibrated, the nine lose together and the 90-day cohort grade (11/22) is the instrument that catches it. Cancel-by discipline (10/28) keeps the resting bid out of the print.

“If this position loses money, the most likely reason will be that the back-half-loaded FCF guide missed at the Q3 print while SBC kept running at 9% of revenue — the level critique red got right compounding the timing risk red got wrong.”